Beijing has its own set of worries over the growing threat of terrorism. Chinese nationals are increasingly exposed to terror threats, and Beijing has no option but to seek cooperation with other countries. Three recent events have certainly influenced Chinese thinking. First, the suicide bombing on the Chinese Embassy in Bishkek in August 2016 highlighted the expanding threat from ethnic Uyghur militant groups. Second, the video released by ISIS in March 2017 explicitly threatening China with attacks on its soil purportedly showed Chinese ethnic Uyghurs fighting for ISIS militants in Iraq. They threatened to return home and shed "rivers of blood." The third was the abduction and murder of two Chinese citizens by ISIS in May 2019 in Quetta, southwest Pakistan. These incidents, and especially the ISIS video, have invoked increased concerns in China about the problems related to terrorism and extremism.

China's longstanding approach to terrorism is to avoid attracting too much attention and becoming a target. That is why China clubs terrorism along with extremism and separatism ostensibly to convey that it is not against Islam. Yet, the current Chinese counter-terrorism policy implemented after 9/11 and based on the concept of a "War on Terror" has not proved efficient in reducing the terrorist threat. China's Xinjiang experience demonstrates the perils of large-scale anti-Muslim policies, and Western countries have not fully endorsed the Chinese anti-terror policies in Xinjiang.

India's position on combating international terrorism is going to be at odds with that of some other SCO members. China, for example, has used the SCO to fight only those cases of terror that fit with its own definition of terrorism, which could be a challenge for India. An example of conflicting India–China policies is India allowing a group of Uyghur political activists to participate in a gathering in India in 2016 in the wake of China's move to block India's bid to get Jaish-e-Mohammed chief Masood Azhar and